Recognising that LEED® Platinum-certified Green Buildings are 25% more energy efficient and emit nearly 35% less GHG, we have built 40 Platinum-certified Green Buildings including iconic hotels. ITC Hotels has also achieved the 2030 carbon emission targets of the Paris Agreement ahead of schedule. The Company is also working with its value chain partners, both upstream and downstream, for decarbonising their operations.

ITC's widespread physical infrastructure and agri operations are spread across 28 states and 7 Union Territories.

To secure our assets and local communities, ITC has carried out extensive climate risk assessments to identify hotspots & take site-specific adaptation actions. These assessments in over 140 sites and select agri-value chains use advanced AI-enabled climate modelling tools. Risks emanating from varied climate hazards are evaluated over decadal time frames, extending till 2100, under various shared socio-economic pathways.

> **"ITC has carried out extensive climate risk assessments to identify hotspots and take site-specific adaptation actions. These assessments in over 140 sites and select agri value chains use advanced AI-enabled climate modelling tools."**

Among several interventions, it would be pertinent to call out **the pioneering Climate Smart Agriculture (CSA) programme that today covers 2.8 million acres** close to our planned target for 2030. This intervention aims to build resilience among farmers, de-risk value chains from erratic weather through a package of agronomy practices as well as the introduction of high-yielding climate-resilient varieties and appropriate mechanisation.

It is indeed encouraging to note from a study undertaken in the first phase that 70% of the villages have moved into a High-Resilience, High-Yield category from just 21% earlier. GHG emissions of select crops reduced by 13% to 66% while farmer incomes increased up to 90% over a five-year period.

Given the successful outcomes, we propose to enhance the area covered under CSA to over 4 million acres by 2030.

Addressing the critical issue of water security, your Company has initiated extensive demand and supply-side interventions.

The Integrated Watershed Development Programmes now cover 1.6 million acres with over 32,000 water structures, while demand side interventions reduce agricultural water use by up to 50% across 1.5 million acres.

As I mentioned, 8 of our units have received the AWS Platinum certification. We aim to create water-harvesting potential equal to over 5 times our net water consumption by 2030. **Going beyond these efforts, we are also working on reviving river basins with negative water balance, thereby securing value-chains and serving communities.**

Success in the Ghod river basin has led ITC to pursue similar projects in Tamil Nadu, Telangana, Karnataka, and MP. Urban water projects are underway in Bengaluru, Chennai and Saharanpur. In addition, your Company has partnered the Government of Karnataka to enable drought-proofing of 3 lakh acres and with the Government of Maharashtra to promote water literacy.

Recent studies point out that the health of natural ecosystems and biodiversity assumes critical importance as 55% of world GDP is dependent on nature. **Your Company's Biodiversity Conservation programmes aimed at reviving ecosystem services and supporting livelihoods cover 4.7 lakh acres.** Recognising that development of sustainable agri-scapes and mangroves conservation helps in creating a carbon sink with higher sequestration, ITC is piloting a programme for mangroves conservation in Andhra Pradesh.

Your Company's climate action builds competitiveness and resilience of its businesses even as it addresses national priorities. While decarbonization projects aid mitigation, the adaptation programmes have been intensified in vulnerable rural areas, leveraging our deep agricultural and community engagement to enable more impactful outcomes.

Agriculture: The Next Horizon

I now turn to Agriculture, the lifeline of our economy. This sector employs nearly half of the country's workforce and faces the onerous task of ensuring food and nutrition security amidst escalating climate challenges and depleting natural resources. Despite vast arable land, diverse agro-climatic zones and leadership in producing several commodities, the sector is constrained by low productivity, inadequate processing and exports, limited technology adoption and inefficient market access.

A transformational shift is needed to transition from traditional supply-focused production to dynamic, demand-responsive value chains, fostering value addition and significantly increasing farmer incomes.

A strategic reset is therefore imperative to build global competitiveness and unleash the true potential of Indian agriculture. It is heartening that the Government has taken several measures to support development of this sector. Public investments in strengthening agri-infrastructure, national agricultural research, promoting FPOs to provide the power of scale, launch of the digital Agri Stack and marketplaces like the e-NAM are progressive interventions.

Next generation reforms can not only unlock the potential in agriculture but also address domestic food requirements & enable the country to be a significant player in global markets.